

DUE DILIGENCE

How to evaluate an SME before investing: a 12-point checklist

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SHORT ANSWER

Check registration, ownership, financials, cash flow, debts, customers, team, and use of funds — in writing — before you commit a single taka.

01. Why a checklist, not a feeling

Most SME investments in Bangladesh don't go wrong because the idea was bad. They go wrong because nobody checked the basics — the company wasn't properly registered, the owner wasn't who they claimed to be, or the bank statements told a different story than the pitch deck. A founder's confidence is not evidence. This is the checklist we run before any business enters our Deal Room: twelve checks, grouped into four themes, in the order we actually do them.

Work through it in order. The first theme is cheap to verify and filters out impostors fast. The later themes take longer, but they tell you whether the business can actually absorb your money — and what it plans to do with it.

02. Identity & ownership — points 1 to 4

Before you look at any numbers, confirm the business legally exists and find out who actually owns it. In Bangladesh that means three documents and one register. Each is a five-minute check.

- RJSC incorporation papers — registered with the Register of Joint Stock Companies and Firms. The company name on the papers must match the name on the bank account they want you to send money to.
- Trade license — issued by the City Corporation or local authority, renewed for the current year. An expired license is a small thing that signals bigger neglect.
- TIN and BIN — the entity's Tax Identification Number and its Business Identification Number for VAT. Ask whether VAT returns are actually being filed; a BIN nobody files under is a quiet warning.
- Shareholder register — the current owners with percentages. Who really controls the company? Side arrangements ("my uncle actually holds 30%") must surface now, not after your money is in.

03. Financials — points 5 to 7

SME financials in Bangladesh are often informal, so the standard is not a Big Four audit. The standard is simpler and much harder to fake: consistency with the bank statements.

- Audited or reviewed statements — at least the last two years, prepared by a named practitioner you can actually contact.
- Bank statements against claimed revenue — the single most useful check in this whole list. Deposits that don't match the claimed sales, heavy unexplained cash withdrawals, or round-number transfers between personal accounts tell a different story than the deck does.
- Debt schedule — every loan: from whom, at what rate, secured against what, and whether repayments are current. Quiet term loans from NGOs, microfinance institutions or family members surface here — and they stand ahead of you in the queue if things go wrong.

04. Operations — points 8 to 10

These checks ask whether the business works day to day — and whether it depends on one fragile relationship to survive.

- Customer concentration — if one buyer is more than half of revenue, you're not investing in a business; you're investing in that relationship. What happens to it if the founder steps back?
- Supplier terms — advance payment or credit? Single-source imported inputs? What happens if the main supplier raises prices or stops supplying? Fragile inputs cap how much money the business can usefully absorb.
- Inventory and physical checks — count what can be counted. Visit the factory, the godown, the shop floor, unannounced if you can. Photos in a deck age quickly; a physical visit does not.

05. The deal itself — points 11 and 12

The last two checks are about the future rather than the past: what the money is for, and whether the words around it will hold.

- Use of funds — where exactly the money goes, in what order, tied to which milestones. "Working capital" is not an answer; a month-by-month plan is.
- Written agreements and references — every term in writing and signed, and conversations with at least two people who have dealt with the founder before: a supplier, a former employee, a previous investor. Phone calls, not letters of introduction.

06. What documents to ask for first

Don't request everything on day one — a founder running a real business can't produce fifty files overnight, and shouldn't have to. Ask for a small first batch and watch how the request is handled:

A serious founder will organize these into a data room and won't balk at signing an NDA first — that's standard professional practice, not an insult. Endless delays, phone photos of documents, or "we'll show you everything after you commit" are answers in themselves.

- RJSC incorporation papers, trade license, TIN and BIN certificates
- Bank statements for the last 12 months — all accounts, all pages, collected from the bank directly
- The shareholder register and copies of any loan agreements
- The use-of-funds plan, month by month

07. A final word

No checklist makes an investment safe. Businesses fail with perfect paperwork. The honest purpose of due diligence is narrower: to replace the founder's story with evidence, so that the risk you take is the one you chose — not the one you never saw. If a check can't be completed, that isn't automatically a reason to walk away. It's a reason to price the risk, ask for protections, or slow down before any money moves.

Terms explained

Due Diligence · Data Room · NDA · Capital Loss

Key takeaways

- Identity checks are cheap and fast — RJSC, trade license, TIN/BIN and the shareholder register filter out impostors before any money is discussed.
- Bank statements beat pitch decks — match deposits to claimed revenue before you believe any number.
- Ask for the debt schedule — hidden loans stand ahead of you in the queue when things go wrong.
- Concentration is the quiet killer — one dominant customer or supplier deserves its own risk price.
- A tidy data room and a signed NDA are the marks of a founder who has done this before.